

MTLS · FY2025 Q4

Materialise NV · 24 turns · 5 participants

CAST (IN ORDER OF APPEARANCE)**Operator**

Conference Call Operator

Kun Belgias

Chief Financial Officer

Troy Jensen

Analyst, Cannabis Drill

Harriet Free

Investor Relations, Alliance Advisors

Brigitte DeVette

Chief Executive Officer

OPERATOR Conference Call Operator

Hello, and thank you for standing by. Welcome to Materialize Fourth Quarter 2025 Financial Results Conference Call. At this time, all participants are in a listen-only mode. After the speaker's presentation, there will be a question and answer session. To ask the question during the session, you will need to press Start11 on your telephone. You will then hear an automated message advising your hand is raised. To withdraw your question, please press Start11 again. I would now like to hand the conference over to Harriet Free of Alliance Advisors. You may begin.

HARRIET FREE Investor Relations, Alliance Advisors

Thank you for joining us today for Materialize's quarterly conference call. With us on the call are Brigitte DeVette, Chief Executive Officer, and Kun Belgias, Chief Financial Officer. Today's call and webcast are being accompanied by a slide presentation that reviews Materialize's strategic, financial, and operational performance for the fourth quarter of 2025 as well as the year 2025 as a whole. To access the slides, if you have not done so already, please go to the investor relations section of the company's website at www.materialize.com. The earnings press release issued earlier today can also be found on that page. Before we get started, I'd like to remind you that management may make forward-looking statements regarding the company's plans, expectations, and growth prospects, among other things. These forward-looking statements are subject to known and unknown certainties and risks that could cause actual results to differ materially from the expectations expressed, including competitive dynamics and industry change. Any forward-looking statements, including those related to the company's future results and activities, represent management's estimates as of today and should not be relied upon as representing their estimates as of any subsequent day. Management disclaims any duty to update or revise any forward-looking statements to reflect future events or changes in expectations. A more detailed description of the risks and uncertainties and other factors that may impact the company's future business or financial results can be found in the company's most recent annual report on Form 20-F filed with the SEC. Finally, management will discuss certain non-IFRS measures on today's conference call. A reconciliation table is contained in the earnings release and at the end of the slide presentation. And with that, I'd like to turn the call over to Brigitte Devent. Brigitte, can you go ahead, please?

BRIGITTE DEVETTE Chief Executive Officer

Good morning and good afternoon. Thank you for joining us today. We're very pleased to present our fourth quarter and full year 2025 results to you today. You can find the agenda for our call on slide three. First, I will summarize the business highlights for the fourth quarter of 2025. Then I will pass the floor to Kun, who will take you through the fourth quarter financials. And finally, I will come back and explain what we expect 2026 to bring. When we've completed our prepared remarks, we'll be happy to respond to questions. On November 20th, 2025, we rang the opening bell at

Euronext Brussels. With this step, we complement our existing listing on NASDAQ with an additional European listing. The dual listing provides us with access to broader investor audience in Europe and increases the company's operational flexibility, including the option to initiate ADS and or share buyback programs. Our NASDAQ listing remains integral to our global strategy. As a reminder, no shares were offered and no capital was raised in connection with the listing of shares on Euronext Brussels. We will trade under the same ticker symbol, MTLN, as on Nasdaq. We have also announced the share buyback program of up to €30 million. This program has started from January 26, 2026. And to date, we have acquired a total of 187,500 shares for a total amount just below \$1 million. Looking at other business highlights of the fourth quarter. In medical, as you know, our aim is to bring personalized solutions to as many patients as possible. In the fourth quarter, we surpassed the historical milestone of 700,000 patients treated with materialized personalized solutions. More than 70,000 patients have been treated in 2025 alone. This represents a significant milestone in our journey towards mass personalization. We released a new version of Mimix Flow, our Mimix platform that is a workhorse software solution for companies that want to develop their own personalized solutions. With this new release, users benefit from enhanced functionality, a new licensing system, and a new pricing structure. Let me briefly elaborate on all three. First, As far as functionality is concerned, the users will now be able to fast-track their work for high-volume applications thanks to additional AI algorithms on the platform. They will also benefit from improvements that will make 3D planning easier and that will make case discussions with colleagues efficient in one unified platform. The new licensing system gives the users more control and will reduce licensing overhead thanks to the new end-user portal, where users can easily re-host, activate, and deactivate licenses as needed and get uninterrupted access with little administrative burden. Third, this mimix release enables true subscription pricing models, more closely aligning our success with that of our customers. We will gradually introduce the new models in specific markets and applications. We're convinced that the new functionality, the future-proof licensing model, and the new pricing models will enable our customers to achieve our common goal, giving more patients access to personalized approaches. In software, we have taken the next step in our open and secure software strategy, introducing three tailored CoEM solutions and new enabling technologies to address the industry's growing need for workflow automation and interoperability. As you know, we have been investing in additional software capabilities beyond preprint to cover the end-to-end additive manufacturing workflows of our customers. The three new CoEM offerings will address specific market segments, CoEM Professional will deliver workflow automation and built-in traceability for high-mix, low-volume additive manufacturing. CoEM NPI accelerates new product introductions and qualifications for series additive manufacturing parts. CoEM Enterprise combines CoEM Professional's expert AM preparation with full production execution and order management, also called manufacturing execution systems. delivering end-to-end workflow management for advanced users. As discussed in our Q3 earnings call, we also introduced CoEM Bricks at Formnext. CoEM Bricks is a new low-code node-based automation technology integrating over a thousand proven algorithms from materialized SDK suites and providing the possibility to incorporate external tools and libraries. Bricks is part of the CoEM platform and puts our extensive software expertise in the hands of every user. It makes it easy to automate complex recurring processes and eliminate repetitive manual work without requiring advanced programming skills. By combining real-time visualization with powerful automation, even non-programmers can easily build custom workflows, instantly see the impact of the design and production decisions, and act on them immediately. The result is higher productivity, faster response times, and ultimately broader adoption of AM technologies. We've seen the impact of GoAM Bricks firsthand in our own production of fixed insoles, our custom 3D printed orthotics. In producing these insoles, CoEM Bricks enabled us to automate almost the entire process from order to print. Nesting time dropped from 45 minutes to just one minute. Build processing became 20 times faster. Total build time fell by 15% and error rates fell from 10% to under 0.1%. CoEM Bricks was referred to by Joris Pils, the 3dprint.com editor, as his favorite thing at Formnext 2025. Turning to manufacturing, we continue to face headwinds in Q4. At the same time, we made progress in expanding our position in high-growth certified industries. We merged our two online platforms, iMaterialize and Materialize Onsite, and

consolidated both into a single streamlined platform. This step reflects our strategic focus on the professional 3D printing market. iMaterialize has been an important part of our history, helping to democratize 3D printing and empower designers, makers, and small businesses. But as the market evolves, consolidating under materialized onsite is a natural next step to focus on our core segments and to align with the needs of professionals and industries driving additive manufacturing forward. We have also made progress in key strategic verticals, such as aerospace and defense. Today, I want to highlight two key projects we have been awarded in the fourth quarter. First, Materialise has been invited to join the SONRISA project as a key enabler of this funded aviation initiative led by Liebherr Aerospace. The project aims to make quality assurance with metal 3D printed aircraft parts more reliable, repeatable, and easier to certify. The consortium brings together leading aerospace and technology players, including Boeing, alongside industrial and research partners. Materialise's role is to develop data-driven quality assessment concepts that merge production and inspection data, such as images, temperature data, and CT scans, to support automated acceptance decisions, as well as virtual testing tools that help assess manufacturability early in the design phase. The Defense and Space Division of Airbus awarded us the production of the environmental control systems for the Eurodrone project. The Eurodrone is the first remotely piloted aircraft system natively designed for safe and reliable flight in non-segregated airspace, giving Europe its own sovereign capability in this field. Production of the first aircrafts will be in 2027, with a go-live of the parts requested from materialized end of 2026. This order represents a significant step forward for us in this key vertical. I will now hand over to Koen for an overview of the financial results.

KUN BELGIAS Chief Financial Officer

Thank you, Brigitte. Good morning or good afternoon to all of you on this call. I'll begin with a brief overview of our key financial results, as shown on slide six. I'm pleased to share that in the fourth quarter, our consolidated revenue grew by 6.8% year on year, reaching 70.2 million euro. Our gross profit margin increased further to 40.8 million, representing 58.1% of our revenue. At the same time, we delivered an adjusted EBIT of 4 million euro, representing a high margin of 5.7% of revenue, demonstrating our ability to convert top line into strong operational results. Net profit came in at €6.2 million for the quarter. Thanks to a positive free cash flow, we also strengthened our balance sheet, improving our net cash position to €70.8 million, an increase of more than €3 million compared to the prior quarter and €10 million above the level at the end of 2024. In the following slides, I will elaborate further on these results. As a reminder, please note that unless stated otherwise, all comparisons in this call are against our results for the fourth quarter and full year of 2024. Now, moving on to the consolidated revenue, even on slide seven. In the final quarter of the year, our revenue reached, as said, €70.2 million, up nearly 7% compared to the same period in 2024. Materialized medical continued its strong double-digit growth trajectory increasing revenue by more than 16% and setting once again a new quarterly revenue record. Revenues in software and manufacturing stabilized, with a slight decline of respectively 1% and 2% compared to prior year. At the same time, unfavorable foreign exchange effects, primarily from a weaker US dollar, continued to weigh on our top line. As shown in the graph on the right, Materialized medical accounted for 53% of our consolidated revenue in Q4, with manufacturing contributing 31% and software 16%. This further shift towards medical reflects the differing growth rates across our three segments. For the full year 2025, revenue totalled \$268 million, essentially flat compared to 2024. Medical represented 50% of total annual revenue, manufacturing 35% and software 15%. Our deferred revenue balance for software maintenance and license fees, coming both from medical and software, increased by 3.5 million in Q4, consistent with the seasonal pattern, ending the quarter at 48.8 million euros. Over the full year, deferred revenue related to software license and maintenance rose by €1.9 million, with the total deferred revenue reported on our balance sheet at €60.9 million at year-end. Let me now move on to profitability, where our disciplined cost measures and operational efficiencies have delivered notable improvements. On slide 8, you can see that our consolidated adjusted EBITDA EBIT results for both the fourth quarter and the full year 2025. In Q4, consolidated adjusted EBITDA reached €9.5 million, more than

double the €4.3 million recorded in the same period of last year, with an adjusted EBITDA margin now of 13.6%. Adjusted EBIT improved sharply to €4 million, compared to a loss of minus €1.2 million in Q4 of 2024, delivering now a strong adjusted EBIT margin of 5.7%. These improvements were driven by higher revenue, an increased gross margin percentage, and lower operating expenses when adjusted for non-recurring costs. For the full year, adjusted EBITDA rose to €32.4 million, representing a margin of 12.1%, while adjusted EBIT increased to 10.6 million with a margin of 4%. With revenue stable year-on-year, this enhanced operational profitability reflects the shift in focus towards key markets, disciplined cost control, and the impact of targeted cost reduction measures implemented throughout the year. These results demonstrate our ability to strengthen profitability even in challenging microeconomic environments. Let's now review the performance of our individual business segments, starting with materialized medical. As shown on slide 9, you will notice that revenue grew by 16% in the fourth quarter to €37 million, another quarterly revenue record. This strong performance was driven by a 23% increase in medical devices and services revenue, supported by growth in both our direct and partner channels. Medical software revenue remained stable, compared to a strong Q4 in 2024, and is further up from prior quarters of 2025. In line with the top-line growth, adjusted EBITDA rose to 13 million from 9.5 million of last year, delivering a robust margin of 35%, fueled primarily by scaling effects. For the full-year medical segment, revenue increased by 15% to 134 million, with adjusted EBITDA reaching 43 million and an annual margin of 32%. Throughout 2025, we further intensified our R&D investments to support future growth of this business unit. Slide 10 summarizes the results of our materialized software segments. In the fourth quarter, software revenue held steady at around 11 million, despite the impact of unfavorable foreign effects and our ongoing transition to a cloud and subscription-based business model. Compared to earlier quarters, the segment continued its steady upward momentum, delivering successive quarterly revenue increases. Recurring revenue from software maintenance and license sales, including COEM, grew by 4% year-on-year in Q4, while non-recurring revenue declined by 19%. Even with a stable top-line, disciplined cost management enabled us to significantly improve adjusted EBITDA to 1.7 million, resulting in an adjusted EBITDA margin of 15.5%. For the full year, software segment revenue totaled 41 million, down 7% from 2024, with adjusted EBITDA at 5.5 million and a margin of 13.4%. Recurring revenue accounted for approximately 82% of total software revenue in 2025, up from 74% the year before, demonstrating the progress in our business model transformation, which we anticipate to complete in 2026. Lastly, for our segments, let's look at manufacturing on slide 11, where macroeconomic headwinds continue to pose challenges, but strategic wins are paving the way for future growth. In the fourth quarter of 2025, the performance of our manufacturing segment remains soft, with revenue declining 2% year-on-year to 22.5%. Persistent macroeconomic headwinds continue to weigh on demand, particularly in prototyping. We also experienced further growth in our strategic markets and in series manufacturing. Notably, the successful closure of several major commercial contracts in aerospace and defense at year-end, as also mentioned already by Brigitte, will support our ongoing transition and will contribute to the results in coming periods. Given the lower top line, adjusted EBITDA for the quarter ended negatively at minus 2.2 million euro. For the full year, manufacturing revenue declined by 13% to 92.5 million, with adjusted EBITDA of minus 4.2 million, representing a negative margin of 4.6%. With the segment results covered, slide 12 outlines our consolidated income statement, showing the drivers behind our improved quarterly profitability. In Q4, gross profit reached 40.8 million, representing a strong gross profit margin of 58.1%. For the full year, the gross margin was 57.1%, up from 56.5% in 2024. Operating expenses in the quarter were stable at around 39 million, while 2025 included significant non-recurring items, which were primarily related to our Euronext listing. This one-off costs amounted to around €750,000 in 2004. For the full year, operating expenses increased by just 1.5% compared to 2024, with the main increase driven by higher R&D investments. Net operating income was with €1.3 million in the quarter, consistent with €1.4 million of last year. For the full year, this figure was 3.8 million versus 4.2 million in 2024. As a result of these factors, our operating result in Q4 was also positive at 3.1 million compared to a loss of minus 1.3 million in the same period of last year. Full year operating results came in at

8.9 million euro versus 9.4 million in 2024. In Q4, our net financial income was 2.4 million, reflecting currency exchange results, interest income from our cash reserves, offset by interest expenses on our debts. Income tax was also positive at 0.7 million euro in line with last year. Altogether, the net profit for the quarter was 6.2 million or 11 euro cents per share, more than double last year's 2.9 million or 5 euro cents per share. For the full year, net profit totaled 7.7 million, or 13 euro cents per share. Finally, let's review our balance sheet and cash flow position, which remains a key strength for Materialise. In Q4 of 2025, our balance sheet remained solid. Cash reserves at year-end increased to 134 million, while gross debt amounted to 63.1 million. This resulted in a net cash position of €70.8 million, an improvement of nearly €10 million since the start of the year, driven primarily by strong free cash flow. Compared to the balance sheet at year-end 2024, net working capital components increased by €3 million. Total deferred revenue income stood at 60.9 million, of which 48.8 was related to deferred revenue from software license and maintenance contracts, as mentioned earlier. In Q4, cash flow from operating activities was positive at 5.3 million, slightly below prior year's quarter, as higher P&L contributions were offset by negative working capital movements. Capital expenditures totaled €4.4 million, including €2.1 million in non-recurring investments. Repayment of a convertible loan by Fluida, together with received government grants for investments, contributed further to a positive free cash flow of €4.5 million in the quarter. For the full year, our operational cash flow was more than €25 million, with the variance versus last year mainly driven by working capital movements. Lower investment levels improved free cash flow significantly to over 15 million euro in 2025. Over that same year, CAPEX totaled 16 million euro, around 6% of our revenue, split between recurring and non-recurring investments. Non-recurring CAPEX fell to 9 million euro in 2025 and included investments in ACTEC's new facility and in additional solar panel installations at various production sites. The recurring capex of 7 million was primarily focused on machinery, printers and upgrades of our IT landscape. And with that, I'd like to hand the call back to Brigitte.

BRIGITTE DEVETTE Chief Executive Officer

Thank you, Koen. Let's turn to page 14 for a quick review of our financial guidance. Looking forward at 2026, we see our three segments evolving at a different pace. We remain confident that our materialized medical segment will continue growing at a double-digit pace. Our materialized software segment will complete the transition towards a cloud-based subscription business model in 2026 and will continue its investments in a broader AM software ecosystem. Our materialized manufacturing segment will intensify its ongoing shift towards series manufacturing and dedicated focus sectors. but we expect macroeconomic headwinds in the industrial market segments to persist throughout 2026. As a result, we expect revenue for 2026 to land in the range of 273 to 283 million euros. We will continue investing in our materialized medical and software segments while maintaining disciplined cost control and optimization, in particular in our materialized manufacturing segments and in our overhead. As a result, we expect our adjusted EBIT to reach €10 to €12 million for fiscal year 2026. At the same time, we will continue to actively pursue strategic M&A opportunities. With €134 million of cash and cash equivalents on our balance sheet, an improved net cash position, and consistently positive operating and free cash flow, we are financially strong and well positioned to further drive innovation and capture emerging market opportunities. This concludes our prepared remarks. Operator, we're now ready to open the call to questions.

OPERATOR Conference Call Operator

Thank you. Ladies and gentlemen, as a reminder to ask the question, please press star 11 on your telephone, then wait for your name to be announced. To withdraw your question, please press star 11 again. Please stand by while we compile the Q&A roster. Our first question comes from the line of Troy Jensen with Cannabis Drill. Your line is open.

TROY JENSEN Analyst, Cannabis Drill

Hey, good morning. Good afternoon. Thanks for taking my question here, and congrats on the nice results. Thank you, Clark. You're very welcome. I guess I want to focus on the manufacturing business. I think the math implies this, but are you assuming that manufacturing is going to be down this year on a year-over-year basis?

BRIGITTE DEVETTE Chief Executive Officer

Can you repeat the question? Because the line was not very clear.

TROY JENSEN Analyst, Cannabis Drill

Yeah, I guess the math kind of implies if medical is growing double digits, that manufacturing is going to be flat to down. Would you confirm that?

BRIGITTE DEVETTE Chief Executive Officer

Yes, that's a correct assumption. So we assume that the current trends that we see driven by the weaker industrial climate, in particular in Europe, will continue to weigh on the manufacturing results, in particular on the prototyping segments.

TROY JENSEN Analyst, Cannabis Drill

Okay. Can you give us like an update?

BRIGITTE DEVETTE Chief Executive Officer

At the same time, we do expect the opportunities in those focus segments that we have been developing not only in the last quarter, 2025, but throughout the year will continue to show growth. So aerospace and defense in particular are segments, as you know, that we're focusing on. Now, 2026, we will not see full results of those investments in those focus segments yet because Those sectors take a little bit of time to develop. So that's also why we remain a little cautious in our outlook for manufacturing in 2026.

TROY JENSEN Analyst, Cannabis Drill

Yeah, that's fair. Any estimate on what percentage of manufacturing is for prototyping applications for you guys?

KUN BELGIAS Chief Financial Officer

That's a percentage, sorry, that we haven't disclosed yet. Yes, we're looking into that if we can do that at some point. Nevertheless, I think numbers and the decline we show in prototyping indicate that it's still a material part or a significant part of our business. It is going down quarter after quarter. We're picking that up in our new segments and strategic segments. But that transition is taking time. And for now, it still represents a fair share of our manufacturing business.

TROY JENSEN Analyst, Cannabis Drill

Okay, understood. My question underneath all this is, I guess I know of a lot of other 3D printing and CNC machine shops that are nicely EBITDA profitable at lower revenue levels. Is there more you guys can do to take out costs at \$90 million in annual sales? Can you get to an EBITDA break-even in the manufacturing business?

BRIGITTE DEVETTE Chief Executive Officer

So the strategy that we have is to focus on those segments where we see not only growth in the longer term in terms of additive, but at the same time, those are sectors where we believe we can differentiate and we have unique capabilities to offer. Now, why do I mention this to your question? Well, that implies... that we believe a stronger margin will be generated in those segments because we are just more uniquely positioned. So that's one. At the same time, un-

doubtedly, we will continue to work on cost optimization, I would call it, in our manufacturing segment and overhead across the company.

TROY JENSEN Analyst, Cannabis Drill

Okay. And then my last question, just for Kuhn here, OPEX I want to ask about. In Q4, if you add all the three line items for OPEX, it was about 39 million. In Q3, it was 36 million. So we had like a 3 million sequential increase in OPEX. Was there anything one-time-ish in Q4? Or is that the type of OPEX? Should we be modeling about 39 million in OPEX in Q1?

KUN BELGIAS Chief Financial Officer

No. Q4 is distorted to a certain degree. effect with mainly the non-recurring costs related to the Euronext listing. And that is an amount of around 750,000 euros. So that is certainly an amount that you should take out of the baseline. And I think for the rest in general, we see typically our general operating costs a bit higher in the fourth quarter. So if you make a full year projection, it should not base entirely only on the fourth quarter, but level it out a bit across the multiple quarters of the year.

TROY JENSEN Analyst, Cannabis Drill

Understood. Very, very helpful. Good luck here in 26, and I'll see some of you next week.

OPERATOR Conference Call Operator

Absolutely. Thank you, Troy.

BRIGITTE DEVETTE Chief Executive Officer

See you next week.

OPERATOR Conference Call Operator

Thank you. Ladies and gentlemen, I'm Sean. No further questions in the queue. I would now like to turn the call back over to Brigitte for closing remarks.

BRIGITTE DEVETTE Chief Executive Officer

Thank you. And thank you all for joining us today. We look forward to continuing our dialogue with you through investor conferences or in one-on-one meetings or calls. And I'm also looking forward to meeting some of you in person at the upcoming AMS conference and the AOS event in the U.S. In the meantime, please reach out if you have any questions. Thank you and goodbye for now.

OPERATOR Conference Call Operator

Ladies and gentlemen, that concludes today's conference call. Thank you for your participation. You may now disconnect.